

EC
012

Consumer and producer surplus

Chapter 4

Buy some new shirts, George!

George wants to buy some new shirts for work. He is willing to pay \$35 for the first shirt, \$25 for the second shirt, and \$15 for the third.

Oxford & Co. (his favorite shirt shop!) sells shirts for \$28 each.

What is the efficient number of shirts for George to buy?

- a) 0
- b) 1
- c) 2
- d) 3



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George wants to buy some new shirts for work. He is willing to pay \$35 for the first shirt, \$25 for the second shirt, and \$15 for the third.

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What is George's consumer surplus?

- a) \$0
- b) \$7
- c) \$10
- d) \$28
- e) \$35



Calculating consumer surplus

Mark and Rasheed are buying new calculators for Math 19. Mark is willing to pay \$75 and Rasheed is willing to pay \$100 for a graphing calculator. The price for a calculator at the bookstore is \$65. How much is their total consumer surplus?

- a) \$10
- b) \$35
- c) \$45
- d) \$60

Figure: The Market for Hamburgers



If the price of hamburgers is \$2, consumer surplus will equal:

- a) \$650
- b) \$400
- c) \$225
- d) \$450

If the price of hamburgers is \$2.50 today, what will happen to the price in the coming days/months?

- a) It will fall
- b) It will rise
- c) It will remain the same
- d) Not enough information

If the price of hamburgers rises, what will be the main effect on the chart?

Figure: The Market for Hamburgers



- a) Supply will shift left
- b) Supply will shift right
- c) Demand will shift left
- d) Demand will shift right

If the price of a hamburger is \$2, consumer surplus will be ...

Figure: The Market for Hamburgers



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The sky is dumping freezing rain, it's 11:30 at night, and you're standing on a street corner 15 miles from home. You open your Uber app and see that the trip is going to cost you roughly \$50, as prices are surging 200 percent above normal. But you summon the car anyways. In fact, you might not have hesitated to go as high as \$100, just to get dry in that comprising moment.

[Laura Bliss](#), Bloomberg, 15 September 2016

What is your consumer surplus?

Four different students each have one textbook they might sell back to the bookstore. Below is each student's reservation price: the lowest price at which they would be willing to sell the book. The bookstore is buying textbooks at a price of \$25.

Seller	Seller's Reservation Price
Alex	\$12
Piper	\$16
Daya	\$22
Red	\$30

How many students will sell their textbooks?

- a) 0
- b) 1
- c) 2
- d) 3
- e) 4

Figure: The Market for Hamburgers



If 400 hamburgers are sold, producer surplus will equal

- a) \$650
- b) \$400
- c) \$510
- d) \$200

Figure: The Market for Hamburgers



If the price falls from \$1.50 to \$1, what is the loss in producer surplus?

- a) \$50
- b) \$45
- c) \$150
- d) \$200

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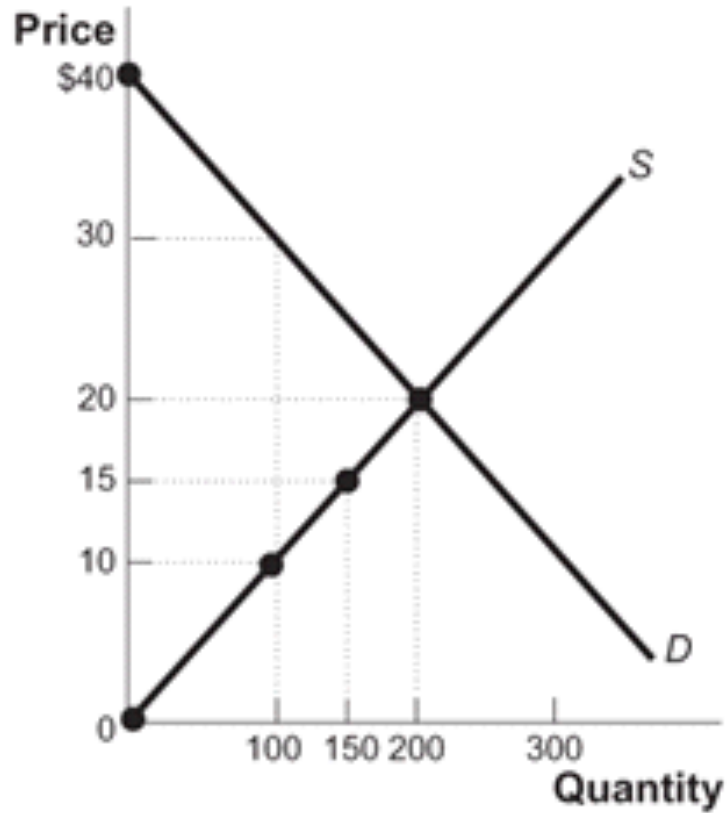
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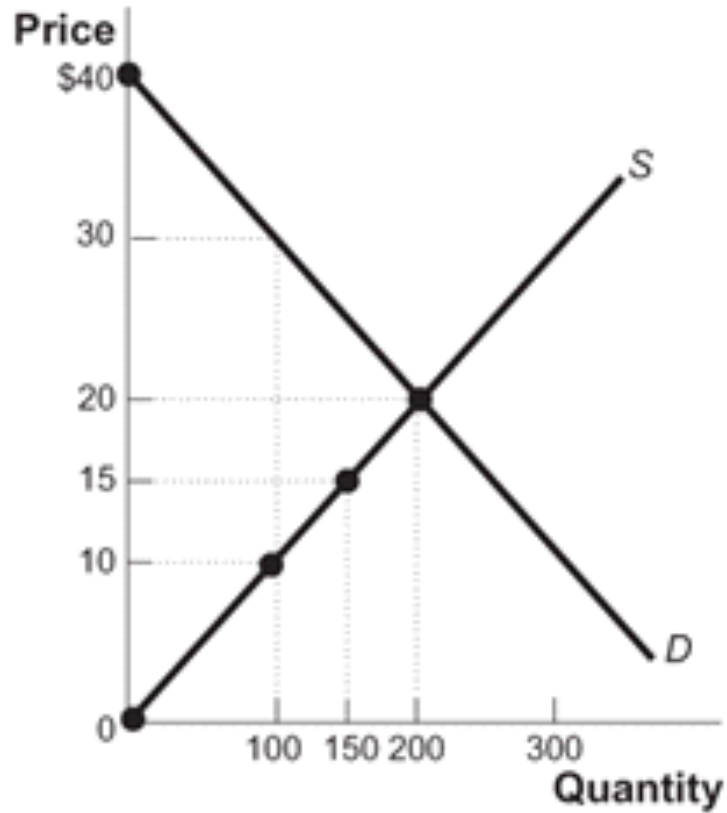
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Look at the market for octopus candle holders. What is **producer surplus** at equilibrium?

- a) \$1000
- b) \$2000
- c) \$4000
- d) \$8000

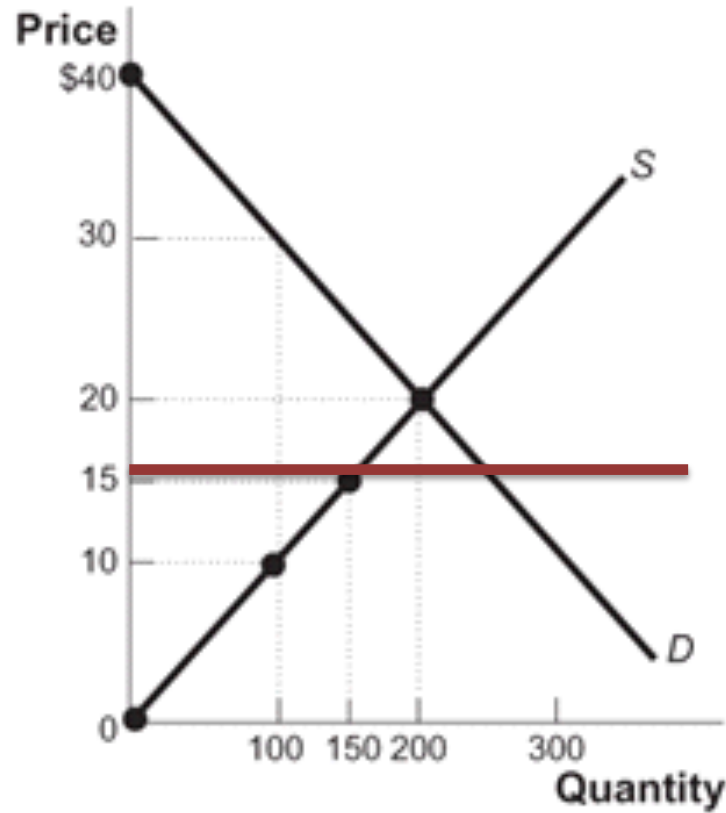




Look at the market for octopus candle holders. What is **total surplus** at equilibrium?

- a) \$1000
- b) \$2000
- c) \$4000
- d) \$8000





Amazon caps the price at \$15. What is the new **producer surplus**?

- a) \$1125
- b) \$1875
- c) \$2000
- d) \$2250



Efficiency of Markets

- Competitive markets are usually efficient:
 1. Allocate consumption to the potential **buyers who most value it.**
 2. Allocate sales to potential **sellers** who most value right to sell the good (e.g., **who have the lowest cost**).
 3. They ensure that **all transactions are mutually beneficial**

Why markets *typically* work so well

Well-functioning markets are effective because of:

- 1. Property rights:** the rights of owners of valuable items, whether resources goods, to use those items as they choose or.
- 2. Economic signals:** any piece of information that helps people make better economic decisions.

Four sources of market failures

Markets will not be efficient in the presence of **market failures!**

- Lack of competition
- Information not shared by all parties
- Existence of external benefits/costs (externalities)
- Existence of public goods